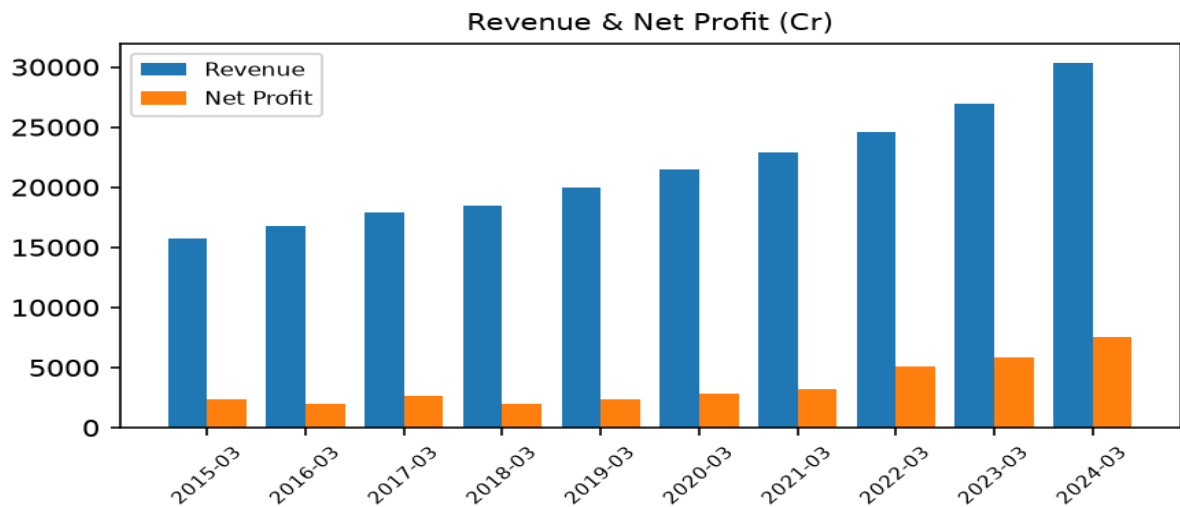


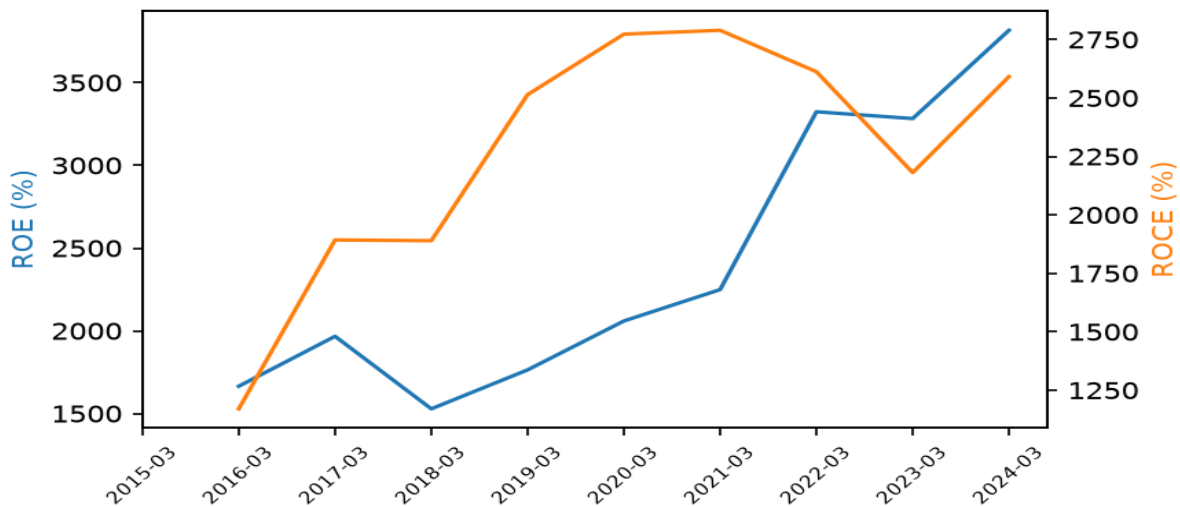
Hindustan Aeronautics Ltd (HAL)

ROE 3816.6%	ROCE 2591.0%	Net Profit Margin 25.0%
D/E 0.6	Revenue CAGR 5yr 8.7%	Free Cash Flow (Cr) 1814.0

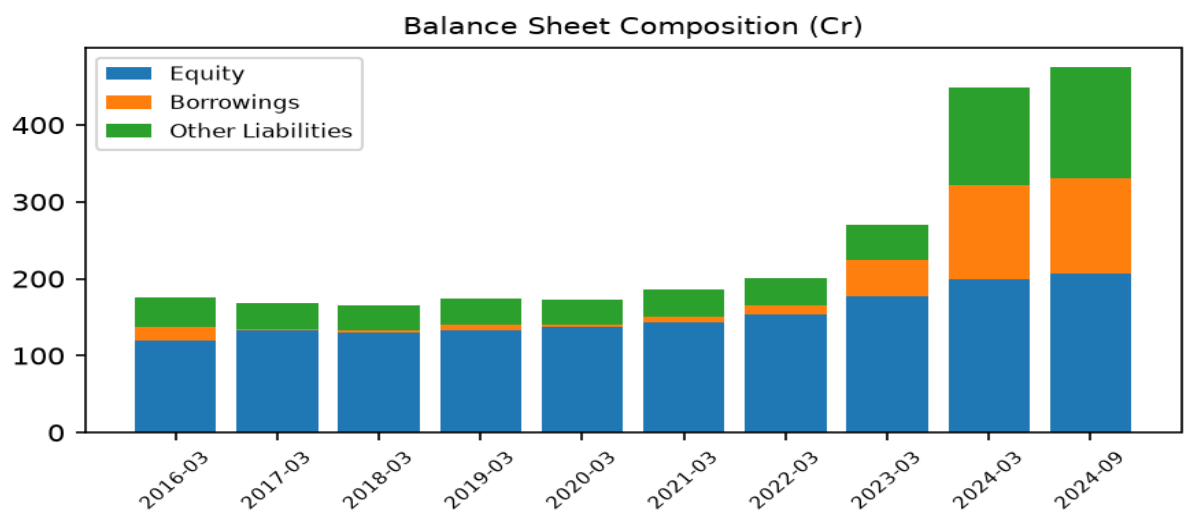
Revenue & Net Profit (10yr)



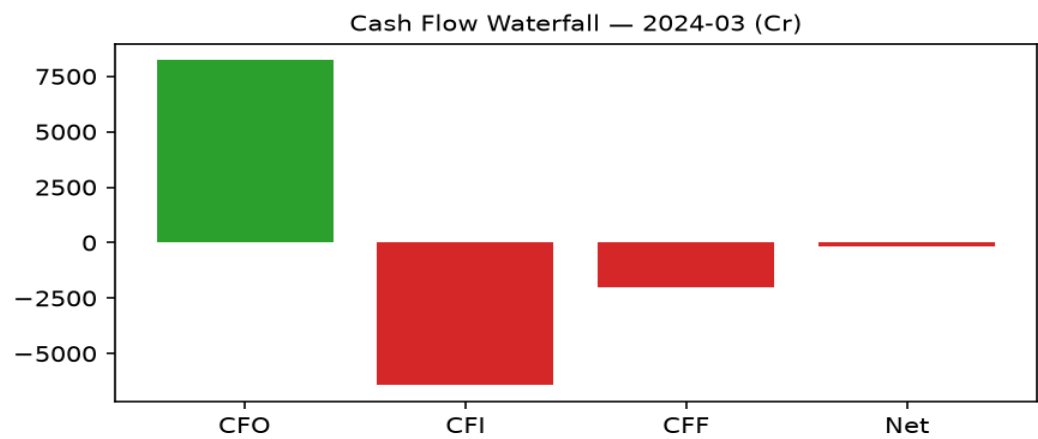
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

- ✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
- ✓ Consistent dividend yield above 2% backed by positive free cash flow
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation: Shareholder Returns